

OPERATING AGREEMENT

of

TIMELESS WAY INTERACTIVE, LLC

A Texas Limited Liability Company

Organized as a Worker-Owned Cooperative

Mission: to generate more games, sustainably, with genuine depth.

“Give what you can, take what you need.”

Effective Date: _____

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Preamble

This Operating Agreement (this “Agreement”) governs Timeless Way Interactive, LLC, a Texas limited liability company (the “Company” or the “Cooperative”), and the relationship among its Members. The Company is formed to develop, publish, and sustain video games and related creative works, and to do so as a democratically governed, worker-owned enterprise in which the people who do the work own the work and govern themselves as equals.

Founding posture. As of the Effective Date the Company has a single Member (the “Founding Member”). While the Company has only one Member, it operates as a single-member LLC and the cooperative governance and economic provisions of Articles 4 through 9 are dormant — except Section 9.4 (no Company debt; no encumbrance of Company IP), which applies from the Effective Date at all times. The dormant provisions activate automatically upon the admission of the second Member, at which point the Company becomes a multi-member, worker-owned cooperative governed by the full terms below. While the Company has a single Member, every decision this Agreement reserves to the Committee, to a Majority, or to a Supermajority — including admitting the second Member under Section 2.3, establishing the Collective Seat, and admitting a Contractor to the Contractor Pool under Section 3.4 — is made by the Founding Member in writing and kept with the Company’s records. If the Company later returns to a single Member, the same rule applies until another Member is admitted.

Our Mission

The Company exists to **generate more games, sustainably, with genuine depth**. Each word is deliberate. *More games* — the Company favors a sustained cadence of finished, shipped work over any single bet-the-company project. *Sustainably* — the Company is run to survive: solvent, humanely paced, and structured so that no one’s livelihood hangs on a single launch. *Genuine depth* — the Company makes work worth taking seriously: mechanically deep, thematically honest, and built to teach as well as to entertain.

Our Values

The Company holds seven values, in no order of priority. They are stated here because they are meant to be used: this Agreement is read and applied in light of them, and where a provision is ambiguous, the reading that best serves the mission and these values controls.

- **Entertainment.** Games are tools that convey an experience. They’re worth making because they are worth playing. Fun is not a lesser goal to be excused by loftier ones; it is the craft itself, and the Company measures its work first by whether people genuinely enjoy and appreciate the experience.
- **Education.** The Company teaches — through games with real depth, through courses and content that share the craft openly, and by showing its work rather than guarding it.

Learning flows both ways: Members are expected to keep learning and to bring what they learn back to the collective.

- **Solvency.** The Company stays alive. Financial health is the precondition of every other value on this list, and no ambition, project, or principle justifies spending the Company into the ground. Solvency is treated as a discipline, not an aspiration.
- **Community.** The Company builds and tends the communities around its games and its craft — players, peers, students, and collaborators — and treats them as participants in the work, not as an audience to be extracted from.
- **Comradery.** Members and collaborators treat one another as comrades: promoting each other's work, sharing skills and opportunities, speaking candidly, and showing up for one another in and out of the work.
- **Politics.** The Company is not neutral. It practices and openly advocates worker ownership, worker advocacy, and the broader socialist cause of which worker cooperation is a part. Its equity-based structure — equal seats, no buy-in, labor owning its work — is itself the politics, practiced rather than merely professed.
- **Equity.** Equal ownership, equal voice, equal share. There is no class of senior or junior owner, no buy-in to join, and no boss. Differences in role, hours, or seniority confer no differences in control-based power.

Operating Principles

Equality of ownership. Every Member is an equal owner with an equal voice and an equal share of the Company's economic surplus, regardless of hours worked, role, or seniority. There is no buy-in to join and no class of senior or junior owner.

Labor owns its work. The Company exists to hold and steward the work its Members create so that no Member's livelihood depends on the goodwill of an employer. Each Member carries the right to use and build on that work, for the Company and for themselves, during membership and after.

Self-direction. Members are trusted to direct their own work and their own business decisions according to their own judgment of what matters. Collective governance exists as a contingency — to correct harm and to decide the few matters that are irreducibly collective — not to manage individuals.

Take what you need. Members draw from the Company's surplus according to their needs and contribute according to their ability. Surplus a Member does not draw remains invested in the Company and the shared work.

Business practices. The concrete tactics by which the Company currently pursues its mission — from game development to public content, courses, crowdfunding, and revenue-share

partnerships — are collected in the Statement of Business Practices attached as Exhibit A. Exhibit A is descriptive and non-binding; it may be revised by the Committee without amending this Agreement, and nothing in it limits any Member's autonomy under Article 5.

Quick Reference — Who Decides What

A map, not a rule. Where this table and the Articles differ, the Articles govern.

Decision	Who decides
What you work on, how, when, and where	You alone (5.1, 5.5)
Outside work, moonlighting, your own side projects	You alone (7.5)
Sponsoring a contributor out of your own share	You alone (3.5)
Accepting a volunteer contributor	You alone (3.8)
Drawing up to the balance of your Member Account	You alone (8.4)
Going part-time, furloughing yourself, pausing your draw	You alone (9.2, 9.3)
Talking about your pay, your conditions, or how the Company is run	You alone — always (3.3, 5.7)
Putting one of your own projects into the Work Pool	You offer; the Committee accepts (7.2)
Starting someone's candidacy	Nobody — it begins by itself on day one (2.3)
Admitting a Member, a Pool Contractor, or a paid conventional contractor	Supermajority (2.3, 3.4, 3.6)
Setting or changing the reserve percentage	Unanimous written consent (8.3)
Confirming the annual distribution	Committee (8.3)
Publishing, licensing, or financing deals that bind the Company	Supermajority (5.3)
Expelling a Member	Supermajority, with notice, a hearing, and written findings (4.3)
Borrowing money, or pledging the Work Pool as collateral	No one. Ever. Unanimity to change the rule (9.4)

Decision	Who decides
Undoing equal seats, equal shares, no buy-in, or the Member license	Unanimous written consent (13.1)

Article 1 — Definitions

In this Agreement, the following terms have the meanings given below. Other defined terms appear in the Articles in which they are used.

1. **“Act”** means the Texas Business Organizations Code, as amended.
2. **“Collective Seat”** means the single Seat that the Contractor Pool may collectively occupy under Section 3.4. The Collective Seat carries economic participation only; it carries no governance vote.
3. **“Committee”** means the assembly of all Members, in which each Member holds one (1) seat and one (1) vote. The Committee is the governing body of the Company, convened and exercised as described in Article 5 — that is, chiefly as a contingency.
4. **“Company IP”** means all intellectual property owned by the Company, including the Work Pool and all copyrights, trademarks, and other rights in it, as described in Article 7.
5. **“Contractor”** means a person engaged to perform work for the Company for compensation under Article 3 who is not a Member. A Volunteer is not a Contractor, though both are classes of contributor engaged under Article 3.
6. **“Contractor Pool”** means the group of Contractors admitted to the Collective Seat under Section 3.4, together with any former Contractor who still holds an Unpaid Balance under Section 3.4.
7. **“Individual Contributor Agreement” or “ICA”** means a written agreement with a Contractor or Volunteer substantially in the form of Exhibit B, as maintained and updated by the Secretary.
8. **“Majority”** means more than fifty percent (50%) of all Members then in office.
9. **“Member”** means a natural person admitted to membership under Article 2 and not since terminated. Every Member is a worker-owner. The Company has a single class of Members.
10. **“Membership”** means the rights and obligations of a Member under this Agreement, the Certificate of Formation, and the Act.
11. **“Member Account”** means the capital account maintained for each Member under Article 8.
12. **“Seat”** means a unit of participation in the equal division of the Company’s distributable surplus under Section 8.3. Each Member holds one (1) Seat. If the Collective Seat is established, the Contractor Pool holds one (1) additional Seat collectively. Governance votes belong only to Members; the Collective Seat never votes.

13. **“Shared Member Seat Arrangement”** means an arrangement under Section 3.5 in which a Contractor is compensated out of a Sponsoring Member’s own share.
14. **“Sponsoring Member”** means a Member who engages a Contractor under a Shared Member Seat Arrangement.
15. **“Statement of Business Practices”** means the non-binding Exhibit A to this Agreement.
16. **“Supermajority”** means at least two-thirds (2/3) of all Members then in office, rounded up to the next whole Member (so two of three, three of four, four of five).
17. **“Threshold”** means, for a given Contractor, the rate at which that Contractor earns compensation for a stated period, as defined in that Contractor’s ICA. A Threshold sets what a Contractor earns, not the most they may receive in any one distribution; the ceiling on a distribution is the Contractor’s Unpaid Balance (Sections 3.4 and 3.5).
18. **“Unpaid Balance”** means, for a given Contractor, the sum of the amounts that Contractor has earned under their ICA less the amounts they have actually been paid, as defined in Sections 3.4 and 3.5. An Unpaid Balance does not expire and survives the end of the Contractor’s engagement.
19. **“Volunteer”** means a person who, at their own initiative and without compensation, contributes work to the Company under Section 3.8. A Volunteer is a class of contributor distinct from both Members and Contractors.
20. **“Work Pool”** means the set of projects and creative works owned by the Company, as described in Section 7.2.
21. **“Surplus,” “Loss,” “Distribution,”** and other financial terms have the meanings given in Section 8.1.

Article 2 — Formation and Membership

2.1 Formation

The Company was formed by filing a Certificate of Formation with the Texas Secretary of State. The Company's existence, the rights of its Members, and this Agreement are governed by the Act and, where this Agreement is silent, by the Act's default rules.

2.2 Classes of Members

The Company has one (1) class of Members. All Members have equal governance rights and equal economic rights, subject only to the differences this Agreement expressly states (for example, reduced economic accrual during a furlough under Article 9).

2.3 Admission of Members

There is no buy-in or capital contribution required to become a Member. Consistent with the Company's practice of active recruiting and long-term partnership, Members are encouraged to identify and cultivate candidates. A person becomes a Member by satisfying all of the following:

1. Completing a candidacy period of six (6) months of work for the Company in any capacity — as a Contractor, a Volunteer, or otherwise (the "Candidacy Period") — which the existing Members may shorten or waive by Supermajority vote;
2. Being approved for membership by Supermajority under Section 5.3;
3. Receiving and acknowledging a copy of this Agreement and any then-current worker handbook; and
4. Executing a joinder agreeing to be bound by this Agreement.

Candidacy is automatic; nobody has to ask. The Candidacy Period begins on the day a contributor starts work, in whatever capacity, and runs six (6) months. There is no application, no request, and no discretion to withhold it. Time already worked for the Company in any capacity counts toward the six (6) months. A contributor who does not wish to be considered for membership says so in writing at any point.

The vote happens on a clock. Before the end of the sixth month the Committee votes on admission, and the candidate is given the result in writing within thirty (30) days of the vote. If admission is declined, the writing states plainly where the Members see the misalignment — in the work, in the fit, or in the Company's own capacity to carry another Member. That is a statement of reasons, not a performance plan: no Member is obliged to promise that any particular change would produce a different answer.

Nobody stays a contractor forever. A contributor may not keep working for the Company beyond six (6) months until being admitted as a Member. If the Committee does not admit them by the end of the sixth month, the engagement ends and the ICA terminates. The single exception is where the contributor has themselves declined membership in writing: there, the Members may authorize the engagement to continue by Supermajority, in renewable terms of no more than six (6) months each, recording the reason in the minutes every time. Every motion to renew states how many contributors are then working under a renewal, so the Members see the bench they are building rather than one name at a time. That door exists for the composer who wants one credit and no company, and only the contributor can open it. It is not a route back to a permanent class of non-owner labor.

An engagement that ends this way ends the work and nothing else. The contributor's Unpaid Balance survives in full and keeps being paid until it reaches zero (Sections 3.4 and 3.5), their credit under Section 3.3 stands, and nothing prevents a later engagement or a later admission.

Upon admission, a new Member immediately receives the perpetual license to Company IP described in Section 7.3, and the Company and the new Member execute the standalone license instrument in the form of Exhibit C.

2.4 Members May Not Transfer Membership

No Member may sell, assign, pledge, or otherwise transfer their Membership or any governance or economic right arising from it. Any attempted transfer is void. This protects the worker-owned character of the Company: ownership follows labor and cannot be bought, sold, or inherited as a financial instrument.

Article 3 — Contractors and Non-Member Labor

3.1 Purpose and Posture

The Company engages Contractors both for specialized or short-term work and — deliberately — as prospective long-term partners on a path toward membership. Revenue-share engagement is the Company's preferred model, because it aligns a Contractor's stake with the Company's solvency and treats them from the outset as a collaborator rather than a vendor. The Company keeps the substantial majority of work on its projects in the hands of Members, candidates, and contributors on a genuine path to membership, so that the people doing the work are — or are becoming — the people who own it. Section 2.3 is what makes that true rather than aspirational: candidacy is automatic and nobody works here as a non-owner past six months.

3.2 Written Agreements; Forms of Engagement

The Company has no employees. All work for the Company is performed by Members under this Agreement and by contributors engaged under this Article. The Company does not hire W-2 employees, does not run payroll, and pays no wages or salary to anyone — not to Members (Section 8.8) and not to contributors. Everyone here is paid out of what the work earns, or is paid a negotiated fee for defined work under Section 3.6. This is the same discipline as Section 9.4: a company with no payroll and no debt cannot be forced to liquidate to meet a Friday obligation, and a lean season is a slowdown rather than a crisis (Section 9.3).

Every Contractor and every Volunteer is entitled to, and must have, a written, signed Individual Contributor Agreement before beginning work. An ICA engages a contributor in one or more of the following forms:

1. **Collective Seat** (Section 3.4) — the Contractor joins the Contractor Pool, which shares a single Seat in the Company-wide split;
2. **Shared Member Seat** (Section 3.5) — the Contractor is compensated out of a Sponsoring Member's own share;
3. **Conventional engagement** (Section 3.6) — fixed-fee, hourly, or milestone compensation; or
4. **Volunteer engagement** (Section 3.8) — uncompensated contribution at the contributor's own initiative.

3.3 Contractor Rights

A Contractor is entitled to a credit on any released project to which they contributed. Every Contractor and Volunteer enters the Candidacy Period automatically on their first day of work and is voted on before the end of their sixth month, under Section 2.3 — there is nothing to

request and nothing to be denied, and no one works here as a non-owner past six months except by their own written election. Contractor Thresholds, Unpaid Balances, and compensation terms are visible to all Members on the same footing as Member pay under Section 6.3. Nothing in any ICA may restrict a Contractor from discussing their compensation or working conditions.

Contributors may rely on these terms. Sections 3.3, 3.4, 3.5, 5.7, 8.6, and 9.4 are made for the benefit of the Contractors and Volunteers they describe, and each of them may enforce those Sections directly against the Company. On request, a Contractor in the Pool is entitled to the number of Contractors then in the Pool, the total of all Unpaid Balances, and the calculation of any distribution affecting them — the same visibility Members have under Section 6.3, into the money that is theirs. A Contractor sponsored under Section 3.5 is entitled to the same, as to the Contractors sharing in their Sponsoring Member's Seat and the Balances those Contractors hold. No amendment to this Agreement reduces an Unpaid Balance already accrued or changes how it is paid; the terms in effect when an amount accrued continue to govern it.

3.4 The Collective Seat

Establishment and admission. The Company may maintain at most one Collective Seat. Establishing the Collective Seat, and admitting each Contractor to the Contractor Pool, are reserved matters decided by Supermajority under Section 5.3, because the Collective Seat dilutes every Member's share and is therefore a genuinely collective commitment — one of the few. Removing a Contractor from the Pool follows the termination terms of that Contractor's ICA, except that a Contractor whose engagement has ended remains in the Pool, for economic purposes only, until their Unpaid Balance is paid to zero.

One seat, however many contractors. The Contractor Pool as a whole occupies one (1) Seat in the division of distributable surplus under Section 8.3, regardless of how many Contractors are in the Pool. The Collective Seat participates economically only; it carries no governance vote and confers no Membership rights.

Distribution within the Pool. Each time the Company makes a distribution with respect to Seats, the Collective Seat's share is divided as follows:

1. The share is divided equally among all Contractors then holding an Unpaid Balance, whether or not they are still performing services;
2. No Contractor receives more than their Unpaid Balance. Any amount that would exceed a Contractor's Unpaid Balance is instead re-divided equally among the Pool Contractors whose Unpaid Balances are not yet paid to zero, repeating until every Pool Contractor's Balance is paid or the share is exhausted; and
3. Any remainder after every Pool Contractor's Unpaid Balance is paid to zero is divided equally among the Member Seats for the same period.

Character of payments. Amounts paid to Contractors under this Section are compensation for services — not distributions of profit, and not any form of equity. The Seat mechanism is a method of computing the amount; it does not make any Contractor a Member or partner. Payments under this Section are contingent on the Company having distributable surplus: if there is no distribution in a period, no amount is payable to the Pool for that period. A Contractor's earnings are not forfeited by that absence — they remain in the Contractor's Unpaid Balance, which carries forward, does not expire, and survives the end of the engagement. This is deliberate: the Company's revenue arrives years after the work that produces it, and a contributor who builds a game in a lean year is to be paid out of the year it ships. An Unpaid Balance is a standing claim on future Collective Seat distributions only — never a debt of the Company or of any Member, and never a claim against another Contractor.

3.5 Shared Member Seat Arrangements

Individual decision. Any Member may, at their sole discretion and without Committee approval, sponsor one or more Contractors under this Section. This is the paradigm case of Section 5.1 autonomy: the Sponsoring Member is spending their own share, and no other Member's economics are affected.

Mechanics. Under a Shared Member Seat Arrangement:

1. Each time the Company makes a distribution with respect to Seats, the Sponsoring Member's Seat share is divided equally among the Sponsoring Member and each Contractor they then sponsor under this Section, unless the ICA specifies a different split;
2. No sponsored Contractor receives more than their Unpaid Balance. Any amount that would exceed a sponsored Contractor's Unpaid Balance is instead re-divided equally among the Sponsoring Member's other sponsored Contractors whose Unpaid Balances are not yet paid to zero, repeating until every such Balance is paid or the share is exhausted; any remainder reverts to the Sponsoring Member;
3. The Company acts as paying agent, paying the Contractor's portion directly to the Contractor and the balance to the Sponsoring Member; and
4. The Company's obligation to a sponsored Contractor is limited to amounts otherwise distributable to the Sponsoring Member. If the Sponsoring Member's share is insufficient — or there is no distribution — the Contractor has no claim against the Company or any other Member, though the Sponsoring Member may supplement payment from personal funds if their ICA so provides. This clause is subject to Section 8.7, clause 8, which settles unpaid Balances out of the Sponsoring Member's Account when their Membership ends.

Accrual and character of payments. A sponsored Contractor earns at their Threshold for each period their ICA is in effect, whether or not any distribution is made, and holds an Unpaid Balance on the same terms as a Pool Contractor under Section 3.4: it carries forward, does not expire, survives the end of the engagement, and survives admission as a Member. A sponsored

Contractor whose engagement has ended continues to share in the Sponsoring Member's Seat distributions under this Section until their Unpaid Balance is paid to zero. Amounts paid under this Section are compensation for services, not distributions of profit and not any form of equity, and confer no Membership, governance vote, or ownership. An Unpaid Balance under this Section is a standing claim on future distributions to the Sponsoring Member's Seat only — never a debt of the Company, of the Contractor Pool, or of any other Member.

The same bargain, a different source. Sections 3.4 and 3.5 differ in one respect and one only: where the money comes from. A Pool Contractor is paid out of the Collective Seat, a sponsored Contractor out of the Sponsoring Member's own Seat. What is earned, how it accrues, that it does not expire, and that it survives both the engagement and admission as a Member are the same under both. Neither form is the lesser deal, and a contributor moved from one to the other carries their Unpaid Balance with them.

3.6 Conventional Engagements

A Contractor may instead be engaged at a fixed fee, hourly rate, or per-milestone price. Entering a conventional engagement is a reserved matter decided by Supermajority under Section 5.3, whatever it is paid from.

This is the one engagement form that commits the Company to pay cash on a date regardless of what the work earns — the obligation this Agreement otherwise refuses to create (Sections 9.3, 9.4) — and it is the form most likely to be read as employment. So it is a collective decision, not an individual one. A Member who wants to bring someone on using only their own share, without asking anyone, has Section 3.5 for exactly that. A conventional engagement also remains subject to the co-signature requirement of Section 6.3 once it exceeds the threshold stated there.

3.7 Ownership of Contractor Work

Every ICA must assign to the Company all intellectual property the Contractor or Volunteer creates for the Company, and must include a present assignment and a “work made for hire” provision to the fullest extent permitted by law. The Company cannot license or protect work it does not own; no project should enter the Work Pool encumbered by a contributor's retained rights. A contributor's separately-listed pre-existing tools and materials remain the contributor's, licensed to the Company as the ICA provides.

3.8 Volunteers

A Volunteer contributes work at their own initiative and without compensation. Accepting a volunteer engagement is an individual decision under Section 5.1: any Member may sign an ICA with a Volunteer without Committee approval, on the strict conditions below. With Shared Member Seat Arrangements (Section 3.5), this is one of only two engagement forms a Member

may enter alone — the Collective Seat (Section 3.4) and conventional engagements (Section 3.6) both take a Supermajority. The Company's goal is always to see contributors paid: a volunteer engagement is accepted only where payment is not a viable path — typically because a pre-existing obligation of the Volunteer, such as an employer's non-compete, moonlighting, or conflict-of-interest restriction, or a similar legal constraint, prevents them from accepting compensation from a company in this industry. Where payment is viable, the Company offers a compensated form under Section 3.2 instead. For volunteer engagements:

1. **Voluntary and revocable.** Volunteering happens only at the Volunteer's initiative, is never solicited in place of a compensated engagement, and is never a condition of candidacy or membership (Sections 2.3, 8.5). A Volunteer may stop at any time, without notice and without liability;
2. **Documented.** Every Volunteer signs an ICA designating an unpaid volunteer engagement, and recording why payment is not viable, before their work enters any Company project. The protections of Section 3.3 and the IP assignment of Section 3.7 apply to Volunteers as they do to Contractors;
3. **No accrual.** A Volunteer has no Threshold, no Seat participation, and no claim on Surplus, and no deferred, retroactive, or contingent compensation accrues from volunteer work (consistent with Section 9.4). Compensation, when it becomes viable, begins prospectively under a new or amended ICA; and
4. **A doorway, on the same clock as everyone else.** A Volunteer enters the Candidacy Period on their first day and is voted on before the end of their sixth month, exactly as a Contractor is (Sections 2.3, 3.3). Volunteering is not a longer path or a lesser one. When the Volunteer's constraint lifts, the Members move them to a compensated engagement, consistent with Section 3.1.

Article 4 — Termination of Membership

The provisions of this Article and of Articles 5 through 9 activate upon admission of the second Member and are dormant while the Company has a single Member — except Section 9.4, which applies from the Effective Date at all times.

4.1 Resignation

A Member may resign at any time by written notice to the Committee. Resignation is effective on the date stated in the notice or, if none, on delivery. Resignation does not relieve the Member of obligations incurred before it. A Member who resigns in good standing retains the IP license described in Section 7.3 and is paid out under Section 8.7. Shared Member Seat Arrangements sponsored by a resigning Member terminate with the sponsor's Membership, per the affected Contractor's ICA.

4.2 Death or Incapacity

A Membership terminates automatically on the death of the Member or on a legally established permanent incapacity. The economic balance in the Member's Account is handled under Section 8.7. The Member's perpetual IP license under Section 7.3 is personal and does not pass to the Member's estate, except that the estate may continue to exploit any then-existing personal project the former Member had lawfully built under that license.

4.3 Expulsion

A Member may be expelled only for conduct of the kind Section 5.4 addresses — conduct that materially harms the Company's finances, reputation, community, or people — and only by Supermajority vote, following these protections. No Member may be expelled while the Company has fewer than three (3) Members. For the expulsion vote only, the Member facing expulsion neither votes nor counts in the number of Members then in office.

1. All Members receive at least fifteen (15) days' written notice of the proposed expulsion and its basis;
2. The Member facing expulsion has an opportunity to be heard, in writing or orally, at a hearing held at least five (5) days before the vote;
3. Except where urgency or the protection of a person requires otherwise, expulsion should be the last step of the corrective process in Section 5.4, not the first;
4. In cases involving alleged harassment, assault, or comparable misconduct, the Committee may modify this process as needed to protect an affected person, and a Member in a close personal relationship with the accused is excluded from the decision; and

5. On expulsion, the Member's economic balance is handled under Section 8.7. The Committee may by Supermajority reduce that balance, but only by the amount of documented, quantified harm the Member's bad-faith or unlawful conduct caused the Company, and only after giving the Member written findings that show the calculation. The expelled Member may require the Company to take that reduction to a single session of non-binding mediation before it is applied. The rest of the balance is paid under Section 8.7; and
6. Expulsion does not touch the Member's Section 7.3 license (Section 4.4), and the Company owes an expelled Member the delivery in Section 7.3, clause 7, on the same terms as anyone else.

4.4 Effect on the IP License

Except as Section 7.3 expressly provides, termination of Membership does not revoke the perpetual, royalty-free license to then-existing Company IP that the Member received. This is intentional: a worker carries their work with them when they go.

Article 5 — Governance: Individual Autonomy and the Committee

5.1 Individual Autonomy; the Committee as Contingency

The default rule of this Company is individual autonomy. Each Member directs their own work and makes their own business decisions with their own share of the Company's resources — their time, their distributions, and the projects and relationships they cultivate — according to their own judgment. No Member needs permission from the Committee, an Officer, or any other Member to act within their own share.

The Committee exists chiefly as a contingency. It is not a management body and does not supervise, assign, or approve Members' ordinary work or business decisions. It convenes to do exactly two kinds of things: (a) decide the small set of matters that are irreducibly collective, listed in Section 5.3, because they spend shared resources or bind every Member; and (b) correct conduct that harms the Company, its Members, or its community, through the process in Section 5.4. If neither kind of matter is pending, the Committee has nothing to do — and that is the intended state of affairs.

5.2 One Member, One Seat; Decision-Making by Consensus

When the Committee does act, every Member holds one (1) seat and one (1) vote. Members seek to make decisions by consensus. Where consensus cannot be reached on a matter, the Committee may table it; if a decision must be made, the matter is decided by Supermajority vote, except where this Agreement requires a different threshold.

When two Members cannot agree. While the Company has two Members, every Supermajority decision needs both of them. If they cannot agree on a reserved matter after a genuine attempt, either may ask for one session with a neutral mediator before the matter is tabled. A tabled matter is not a deadlock: the Company keeps running under Section 5.1, where nearly all of its work already lives, and an unresolved reserved matter is not grounds for dissolution (Sections 9.3, 11.1).

5.3 Reserved Matters

Only the following are Committee matters. Everything not listed here is an individual matter, left to the Member or Members doing the work:

1. Admitting Members (Section 2.3) and expelling Members (Section 4.3);
2. Amending this Agreement (Section 13.1) or adopting policy that binds all Members;
3. Accepting a project into the Work Pool (Section 7.2);
4. Selling Company IP or granting an exclusive license to it;

5. Establishing the Collective Seat and admitting Contractors to the Contractor Pool (Section 3.4), and entering any conventional engagement (Section 3.6);
6. Entering publishing, licensing, or financing arrangements that bind the Company as a whole — subject in every case to Section 9.4, which prohibits borrowing and any encumbrance of Company IP;
7. Confirming the annual distribution (Article 8) — but not the Reserve Percentage, which is fixed and moves only by unanimous written consent (Section 8.3);
8. Collective conservation measures during financial distress (Section 9.3);
9. Paying a Member for goods or services outside their work as a Member (Section 8.8), and approving a draw that exceeds a Member's Account balance (Section 8.4); and
10. Dissolution (Article 11) and any matter the Act reserves to the members.

For clarity: day-to-day creative, production, and business decisions — art, design, engineering, tooling, marketing content, individual moonlighting, Shared Member Seat Arrangements (Section 3.5), and volunteer engagements (Section 3.8) — are not Committee matters. Of the four engagement forms, only those last two are a Member's to enter alone; the Collective Seat and conventional engagements spend collective money and are decided collectively.

5.4 The Corrective Function

The Committee's corrective role addresses conduct that materially harms the Company's finances, reputation, community, or people — including unlawful conduct, harassment, and sustained bad faith. Consistent with the Company's practice of candid discourse, correction is graduated:

1. **Direct conversation first.** A Member concerned about another's conduct raises it directly and candidly with that Member before escalating, unless doing so would be unsafe;
2. **Committee review.** If direct conversation does not resolve it, any Member may bring the matter to the Committee, which hears the affected parties;
3. **Remediation.** The Committee may agree with the Member on specific commitments — and may, by Supermajority, suspend a specific harmful activity in the interim; and
4. **Expulsion as last resort.** Only if remediation fails or the conduct is grave does the Committee proceed under Section 4.3.

The corrective function is a shield, not a lever: it may not be used to steer a Member's creative or business judgment merely because others disagree with it.

5.5 Self-Direction and Self-Assigned Roles

Members direct their own work according to their own judgment of priority. A Member may adopt and communicate a job title that clarifies their role and responsibilities. Self-assigned titles describe function only; they confer no additional governance or economic rights and no authority over other Members, and they are recorded in the worker handbook rather than this Agreement.

5.6 Meetings

The Committee meets at least quarterly, and additionally whenever a reserved matter or corrective matter requires decision. It may meet remotely; participation by video or telephone counts as presence. A Majority of Members constitutes a quorum. Special meetings may be called by any two Members, or by any single Member while the Company has fewer than four Members. Votes are cast personally; no proxies are permitted.

5.7 No Retaliation

No one may be expelled, terminated, furloughed, defunded, denied candidacy or admission, cut out of work, or otherwise disadvantaged because they raised a concern in good faith — about safety, pay, conduct, the Company's finances, or compliance with this Agreement — because they took part in a corrective process under Section 5.4, or because they discussed their compensation or working conditions. Retaliation is itself conduct the corrective function addresses. This Section protects Members, Officers, candidates, Contractors, and Volunteers alike, and no ICA or policy may narrow it.

Article 6 — Administrative Officers

6.1 Offices

The Company has a Secretary and a Treasurer, elected by Majority for one-year terms and removable by Majority at any time, with or without cause. These are administrative roles that carry no governance authority beyond the duties stated here; an Officer remains an equal Member. One person may hold both offices while the Company is small. If an office falls vacant, or an Officer fails to act, any Member may call a meeting to fill it and the Members shall do so within thirty (30) days. An Officer leaving office delivers every record, book, credential, and account access they hold to their successor, or, until one is elected, to any two Members.

6.2 Secretary

The Secretary maintains the Company's records and minutes, maintains the current forms of the ICA (Exhibit B) and the Member Perpetual IP License (Exhibit C), and gives notice of meetings. If the Secretary fails to act, any Member may give notice.

6.3 Treasurer

The Treasurer maintains the Company's books and accounts, makes authorized disbursements (including acting as paying agent under Sections 3.4 and 3.5), makes each Member's rate of pay and each Contractor's Threshold and current Unpaid Balance available to every Member, maintains the running record of Unpaid Balances (including those of former Contractors) for as long as any Balance remains unpaid, reports on the Company's finances at least quarterly or on reasonable request, and monitors the Company's financial health under Article 9. Any disbursement of Company funds over \$5,000 and any series of related disbursements exceeding \$5,000 within any thirty (30) days requires the signature of the Treasurer and one other Member. Recurring obligations the Members have already approved, such as a software subscription or rent, do not need a second signature each time they are paid. Company funds are held in accounts in the Company's name and are never commingled with any Member's personal funds.

Article 7 — Intellectual Property

7.1 Company Ownership of Company IP

All intellectual property created by a Member within the scope of their work for the Company, and all work accepted into the Work Pool, is owned by the Company. Each Member hereby makes a present assignment to the Company of all such intellectual property, and agrees to execute any further documents reasonably needed to perfect or record that ownership. The Company holds this IP in trust for the equal benefit of all Members.

7.2 The Work Pool

The “Work Pool” is the body of projects and creative works the Company owns. A Member may, at their sole discretion, contribute a project they have created into the Work Pool; doing so transfers that project’s intellectual property to the Company and makes it shared Company IP. A project enters the Work Pool only on the contributing Member’s voluntary act and the Committee’s acceptance under Section 5.3. Contribution is irreversible: once a work is in the Work Pool it is Company IP and is governed by this Article. A Member contributing a project represents that they own it, that it carries no security interest or third-party claim, and that they have disclosed every third-party, marketplace, open-source, and AI-generated component in it together with the license terms for each. The Committee accepts a project only after that disclosure, and the disclosure goes into the manifest under Section 10.1 — because a promise that every Member may take the work with them (Section 7.3) is only as good as the Company’s knowledge of what it actually holds.

7.3 Each Member’s Perpetual License

On admission, and continuously throughout membership, each Member is granted a worldwide, perpetual, irrevocable, royalty-free, non-exclusive license to use, reproduce, modify, and create derivative works from all Company IP that exists as of any time during their membership, for any purpose, including the Member’s own independent and commercial projects. This license:

1. vests in each Member equally, with no Member receiving greater or lesser rights;
2. survives termination of Membership for any reason, as to all Company IP that existed during the Member’s membership (a departing Member keeps the right to use and build on everything that existed while they were here);
3. refreshes continuously during membership, so a current Member’s license always covers the latest Company IP, while a former Member’s surviving license is fixed as of the date their membership ended;

4. is personal to the Member and may not be assigned or transferred (consistent with Section 2.4), except that lawful derivative works a Member creates under it are the Member's own to exploit;
5. is non-exclusive, so the Company retains full ownership and the ability to license the same IP to others — provided that any exclusive license the Company grants is subject to the Members' outstanding licenses under this Section; and
6. does not extend to the Company's trademarks, trade names, or logos, except for truthful, non-confusing attribution, and does not extend to the information described in Section 7.6, which is not the Company's to license in the first place; and
7. comes with the files, on request. A license to work a Member cannot get their hands on is not a license. The mechanics are these:
 - a. **The Member asks.** The Company owes no delivery until a Member requests it. A Member may request at any time during membership and at any time after departure — the right does not lapse — and says in the request what they want: named repositories, projects, source assets, build tooling, or all Licensed IP. A request for everything is valid and complete.
 - b. **The Company delivers within thirty (30) days, at its own expense,** in the form the Company itself keeps the material: repository clones or archives with history intact, project files, and source assets in their working formats — not exports, flattened renders, or compiled builds. Delivery is by any means that actually puts the files in the Member's possession: an archive, a drive, or continued repository access the Member can clone from.
 - c. **Every delivery carries its manifest** under Section 10.1 for the material delivered, identifying third-party, marketplace, open-source, and AI-generated components and the terms each is held on, so the Member knows which parts are theirs to use and which they must clear for themselves.
 - d. **A list is not delivery.** The Company may not satisfy this clause with Schedule A, an inventory, or a list of repository names. A Member whose request goes unmet may enforce this clause specifically.

The Company and each Member shall execute a standalone license instrument substantially in the form of Exhibit C evidencing this license. The license is granted by this Agreement itself; failure to execute Exhibit C does not diminish it.

7.4 No Transfer of Copyright by Members

Because the Company owns Company IP and Members hold a non-transferable personal license rather than a divisible ownership share, no Member can sell, assign, or bequeath an

ownership interest in Company IP. This preserves the principle that the work belongs to the working collective and cannot be alienated to outsiders.

7.5 Member Side Projects and Moonlighting

The Company places no restriction on a Member pursuing creative or commercial projects outside the Company (“Side Projects”). Moonlighting is encouraged: Members are urged to take outside work, build interesting things, and bring the experience and knowledge back to the Company. The Company makes no claim to any Side Project unless and until the Member voluntarily contributes it to the Work Pool under Section 7.2. Work a Member builds on top of their Section 7.3 license is the Member’s own.

7.6 Other People’s Information

A Member’s Section 7.3 license covers the Company’s own work. It does not reach information that belongs to someone else and merely passes through the Company’s hands. There are two such things, and they are limits the Company did not choose and cannot waive:

1. **Personal data** of players, community members, contributors, and Members — together with the credentials and keys that protect it. This was never the Company’s to license and is not a Member’s to pass on. The duty is owed to those people, not to the Company, and lasts as long as the law’s does.
2. **Information a third party gave the Company in confidence** — a publisher, a partner, a vendor. The Company can keep such a promise only if its Members keep it, and a company that cannot make that promise cannot make the arrangements its work depends on. This duty begins when the Company takes it on, is limited to what the Company itself agreed to, and ends when the Company’s own obligation ends.

Nothing else is restricted, and this Section creates no duty of secrecy toward the Company. A Member may show, discuss, and publish unreleased work, their own compensation, their working conditions, and how this Company is run. Devlogs, postmortems, and building in public are the Company’s practice (Exhibit A), not an exception carved out of a confidentiality rule — there is no confidentiality rule here to carve. Where a Member’s disclosure genuinely harms the Company, its community, or its people, the answer is the corrective process in Section 5.4, applied to a person, and never a narrowing of the Section 7.3 license, which nothing in this Agreement narrows.

Article 8 — Finances

8.1 Definitions

1. **“Expenses”** means the Company’s operating expenses, including compensation to contributors engaged under Article 3, rent, software, hardware, and amounts payable on Permitted Obligations under Section 9.4. Expenses never include wages or salary, because the Company has no employees (Section 3.2), and never include compensation to a Member for their work as a Member (Section 8.8). The Company carries no borrowed debt (Section 9.4), so Expenses never include interest or principal on borrowings.
2. **“Fiscal Year”** means the twelve-month period from January 1 through December 31. The Committee may adopt a different Fiscal Year only where applicable tax rules require or permit it, and only by Supermajority.
3. **“Surplus”** means the excess of revenues over Expenses for a Fiscal Year, on a pre-tax basis, excluding any capital contributions.
4. **“Loss”** means the excess of Expenses over revenues for a Fiscal Year.
5. **“Reserve Percentage”** means the fixed percentage of Surplus retained to the Collective Account each Fiscal Year before anything is distributed, set under Section 8.3.
6. **“Distributable Amount”** means Surplus for the Fiscal Year less the Reserve Percentage applied to it, under Section 8.3.
7. **“Seat Share”** means the Distributable Amount divided by the number of Seats then outstanding (all Members, plus the Collective Seat if established).
8. **“Member Account”** means each Member’s capital account, increased by allocations of Surplus credited to it and decreased by Losses, distributions, and redemptions.
9. **“Collective Account”** means Surplus retained in the Company and not distributed or credited to individual Member Accounts, held as the Company’s shared reserve.
10. **“Distribution”** means a payment of cash from the Company to a Member with respect to their interest.

8.2 Fiscal Year

The Company’s Fiscal Year is defined in Section 8.1.2: January 1 through December 31, changeable only where tax rules require or permit and only by Supermajority. Every reserve, allocation, distribution, and report in this Article runs on it.

8.3 Seats; Equal Allocation of Surplus and Loss

The reserve is a fixed percentage, and only unanimity moves it. For each Fiscal Year the Company retains the Reserve Percentage of Surplus to the Collective Account before anything is distributed — a solvency discipline, per the Preamble. The Reserve Percentage is **ten percent (10%)** unless the Members set a different figure, and it may be set or changed only by the unanimous written consent of every Member: never by Supermajority, and never by the Committee deciding year to year. A change takes effect for the Fiscal Year in which it is adopted and those after it, never retroactively.

This is deliberate. A discretionary reserve is a lever — whoever controls it controls whether anyone is paid at all, including the Contractor Pool, without ever having to break a rule. A fixed percentage that takes everyone's agreement to move is a number every Member and every contributor can rely on and compute against. It may not be set at a level that would defeat the mandatory minimum cash distributions under Section 8.4 or the Contractor Pool's payment under Section 8.6.

What remains — the Distributable Amount — is divided equally per Seat, as follows:

1. Each Member's Seat Share is allocated to that Member, without regard to hours worked, role, or seniority;
2. If the Collective Seat is established, its Seat Share flows to the Contractor Pool under Section 3.4, with any excess over the Pool's Unpaid Balances re-divided equally among the Member Seats; and
3. Loss is allocated equally among Members only; the Contractor Pool never bears Loss and is never obligated to return compensation.

Where a Member was a Member for only part of the year, or was part-time or furloughed under Article 9, that Member's allocation is pro-rated to reflect the portion of the year they were an active, full participant, using a formula the Committee adopts once and applies uniformly to everyone. Pro-rating reaches only a partial year of membership and part-time or furlough status the Member elected in writing under Section 9.2. It is never applied as a sanction, never applied to one Member on terms not applied to all, and a Member's allocation is not reduced for illness, injury, caregiving, bereavement, or parental leave of up to twelve (12) weeks in any twelve-month period. No Member is obligated to restore a negative balance in their Member Account, to the Company or to anyone else, at any time, including on dissolution. Amounts payable to Contractors under Shared Member Seat Arrangements are carved out of the Sponsoring Member's own Seat Share under Section 3.5 and do not affect any other Seat.

8.4 Distributions and Mandatory Minimum Cash

Taking what you need. Members draw from Surplus according to their needs; Surplus a Member does not draw remains invested in the Company and is credited to that Member's Account or to the Collective Account as the Member determines.

How a draw works. A Member may draw up to the balance of their own Member Account at any time, on notice to the Treasurer and without anyone's approval. A draw beyond that balance is a reserved matter under Section 5.3 and, unless the Committee agrees otherwise, is charged against that Member's future allocations rather than against anyone else's share. No Member's draw may reduce the cash available for another Member's mandatory minimum under this Section or for the Contractor Pool's payment under Section 8.6.

The cash floor. Notwithstanding the "take what you need" principle, the Company shall distribute to each Member, in cash, no later than the time that year's taxes are due, an amount at least sufficient to cover the estimated income tax attributable to that Member's allocated share of Surplus. Without this floor, a Member who took no cash could still owe income tax on their full allocated share with no money to pay it. The minimum is the greater of (a) twenty percent (20%) of the Member's allocated Surplus, or (b) such higher amount as the Treasurer, on the advice of the Company's accountant, determines is needed to cover the tax. For a Sponsoring Member, the minimum is computed on their allocation net of Shared Member Seat payments.

8.5 No Buy-In; Capital Contributions Voluntary

No Member is required to contribute capital to join or to remain a Member. A Member may make a voluntary capital contribution, which is credited to that Member's Account or, if the Member directs and the Committee accepts, to the Collective Account.

8.6 Priority of Cash Payments

The Company makes cash payments in this order of priority:

1. first, to pay Expenses and to fund the Reserve Percentage to the Collective Account under Section 8.3;
2. second, to make the mandatory minimum cash distributions under Section 8.4 and, *pari passu*, to pay the Contractor Pool its amounts computed under Section 3.4;
3. third, to pay any additional distributions Members elect to draw — with each Sponsoring Member's draw split with their sponsored Contractors under Section 3.5 as it is paid; and
4. fourth, to redeem Member Account balances and pay amounts owed to former Members under Section 8.7.

8.7 Payout on Separation

When a Member's Membership terminates for any reason, including death, the balance in that Member's Account converts to a debt the Company owes the former Member (or their estate). The Company pays that debt as follows:

1. the debt is paid within three (3) years of termination;

2. no interest accrues for the first six (6) months; thereafter interest accrues at a modest reference rate set by the Committee (for example, the applicable federal short-term rate) on the unpaid balance;
3. the Company may extend payment beyond three (3) years only to the extent the Treasurer determines, and the Committee confirms, that paying on schedule would threaten the Company's solvency;
4. on expulsion for bad-faith or unlawful conduct, the Committee may reduce or cancel the balance under Section 4.3;
5. the Company may offset against the balance any amount the former Member owes the Company;
6. the debt is unsecured and is not a claim against Company IP. No former Member may seek or obtain a lien, security interest, or execution against Company IP to satisfy it, and any purported grant or attachment of such an interest is void (Section 9.4). The Work Pool is not collateral for anyone, including the people who built it; and
7. no interest accrues during any period of dormancy under Section 9.3, and a deferral properly made under clause 3 is not a default; and
8. where the former Member sponsored one or more Contractors under Section 3.5, the Unpaid Balance each of those Contractors held on the date of termination is paid out of the balance in that Member's Account, in full and before any payment to the former Member under clauses 1 through 3, and pro rata among those Contractors if the Account balance is not enough for all of them. Any reduction under clause 4 and any offset under clause 5 reach only what remains after this clause is satisfied. Sponsorship is the Sponsoring Member's own commitment, and it is settled out of the Sponsoring Member's own money before that money is returned to them.

8.8 Member Compensation Comes Only from Seats

A Member is paid for their work through their Seat Share under Section 8.3 and the distributions that follow from it — and through nothing else. The Company pays no salary, wage, fee, bonus, or other above-the-line compensation to a Member for their work as a Member, and no such amount is an Expense under Section 8.1.

The Company may reimburse a Member for documented out-of-pocket costs incurred for the Company. It may pay a Member at arm's length for goods or services genuinely outside the scope of their work as a Member, but only as a reserved matter under Section 5.3 and only on terms disclosed to every Member under Section 6.3.

This Section exists because the equal Seat is the whole of a Member's economic reward. Without it, a Member could take pay above the line, shrink Surplus to nothing, and leave the equal split — and the Collective Seat that shares in it — dividing zero.

Article 9 — Availability of Work and Financial Distress

9.1 Monitoring

The Treasurer monitors the Company's financial health and informs the Members as soon as the Company appears at risk of failing to meet its financial commitments. During any period of reduced pay or hours, the Treasurer reports quarterly on progress toward recovery.

9.2 Work Hours; Part-Time and Furloughed Members

Members may work as much or as little as they choose within reason. The Committee may adopt a minimum-participation policy only by unanimous written consent, and a Member who falls below it becomes part-time or furloughed under this Section — never expelled for that reason, and never subject to a reduced Seat Share except as Section 8.3 permits. Where the Company cannot fund full participation for everyone, a Member may become part-time or furloughed. A part-time or furloughed Member keeps full voting rights but accrues a reduced economic allocation (part-time) or no new allocation (furlough) for the affected period, consistent with the pro-rating in Section 8.3.

9.3 Financial Distress: Slowdown, Not Dissolution

The Company is structured so that financial distress cannot kill it. Because the Company carries no debt (Section 9.4), compensates Members and revenue-share Contractors only out of Surplus that actually exists, and requires no payroll to survive, a period without revenue is a period of slowdown — not a crisis that forces liquidation. When the Company cannot fund full participation for everyone, or cannot meet its ordinary Expenses, the Members respond in this order:

1. **Transparency.** The Treasurer presents the Company's finances and the size and expected duration of the shortfall;
2. **Individual refocus.** Each Member — at their own discretion, and according to their own needs and capabilities — shifts effort toward moonlighting, outside employment, and other personal income (Section 7.5), reduces or suspends their draw, and scales their Company work down to part-time or furlough status under Section 9.2. These adjustments are the paradigm application of Section 5.1 autonomy: no vote is required, no Member may be compelled to reduce pay or hours, and each arrangement ends when the affected Member chooses;
3. **Collective conservation.** The Committee may, as reserved matters under Section 5.3, suspend admissions to the Contractor Pool, wind down conventional contractor engagements as their ICAs permit, and cancel or defer discretionary Expenses; and

4. **Dormancy rather than dissolution.** If the Company cannot fund any active work, it goes dormant rather than dissolving: it maintains its existence, filings, records, and ownership of the Work Pool at minimal cost while Members pursue their own work under their Section 7.3 licenses, and collective work resumes when conditions and Members' capacities allow.

Financial distress is never, by itself, grounds for dissolution. Absence of revenue, inability to fund active development, or exhaustion of reserves is addressed by the slowdown-and-dormancy process above, not by winding up the Company, and shall not be treated as a failure of purpose or deadlock supporting dissolution. Nothing in this Section limits the Members' right to dissolve voluntarily under Article 11 for reasons of their own choosing.

9.4 No Company Debt; No Encumbrance of Company IP

The Company does not borrow. Debt is the one force that could take the Work Pool out of the Members' hands or convert a quiet season into a cascade of obligations, and the survival-by-slowdown posture of Section 9.3 holds only if no creditor can force the issue. Accordingly:

1. **No borrowing.** The Company shall not borrow money, issue notes or other debt instruments, enter into leases or purchase arrangements that function as financing, or guarantee or become surety for the obligation of any person, except the Permitted Obligations in clause 4;
2. **No encumbrance of Company IP.** The Company shall not pledge, mortgage, grant a security interest in, or otherwise encumber any Company IP, and no Company IP may serve as collateral for any obligation of the Company, of any Member, or of anyone else. Any purported encumbrance of Company IP is void;
3. **No individual authority; personal debt stays personal.** No Member, Officer, or agent has authority to bind the Company to any obligation this Section prohibits. Any attempt is unauthorized and void as against the Company; the person who incurred it bears it personally, shall indemnify the Company against it, and is not indemnified for it under Article 12. So that no counterparty can claim to have extended credit without notice, the Company shall state this Section's restrictions in its Certificate of Formation and in every written agreement under which a counterparty could extend credit to the Company or take an interest in Company IP. Consistent with Section 5.1, a Member remains free to borrow personally, against their own assets and their own share — but personal debt creates no claim against the Company, any other Member, or Company IP;
4. **Permitted Obligations.** The Company may incur only: (a) ordinary trade payables incurred in the ordinary course of business and payable within ninety (90) days (for example, software subscriptions, rent, and vendor invoices); (b) taxes and other government charges; (c) the payout debt owed to former Members under Section 8.7, which arises by operation of this Agreement rather than by borrowing; (d) contingent

revenue-share compensation under Article 3, which by its terms is payable only out of Surplus that exists and therefore cannot cascade; and (e) the mandatory minimum cash distributions under Section 8.4; and

5. **Unanimity to change.** This Section may be amended, and any exception to it granted, only by unanimous written consent of all Members — not the Supermajority that suffices elsewhere — because a single borrowing can put every Member's work at risk.

Notwithstanding the founding-posture provision of the Preamble, this Section applies from the Effective Date, including while the Company has a single Member.

Article 10 — Records, Reports, and Taxes

10.1 Records

The Company maintains, in secure electronic form, a current list of Members and their contact information; a current list of Contractors and Volunteers, their engagement forms, any Thresholds, and a running record of every Unpaid Balance, including balances held by former Contractors, retained until each is paid to zero; a manifest of the third-party engines, middleware, assets, fonts, open-source components, and AI-generated material used in the Work Pool, recording for each the license terms it is held on and whether those terms let a Member use it under Section 7.3; its Certificate of Formation and this Agreement with all amendments; its tax returns for the most recent six years; its financial statements for the most recent six Fiscal Years; and its books and records for at least the current and prior four Fiscal Years.

10.2 Member Access

On a Member's request for a purpose reasonably related to their Membership, the Company promptly provides, at its expense, copies of the records in Section 10.1.

10.3 Tax Reporting

Within ninety (90) days after the end of each tax year, the Company sends each Member the information needed to complete their federal and state income tax returns (for a partnership-taxed LLC, a Schedule K-1), and sends each Contractor any required information return (for example, a Form 1099). The Committee designates a Member as the Company's partnership representative (or equivalent) for dealings with taxing authorities, who keeps the Members informed of any audit.

Article 11 — Dissolution and Winding Up

11.1 Events of Dissolution

The Company dissolves on the earlier of a Supermajority vote of the Members to dissolve, or a decree of judicial dissolution under the Act. Consistent with Section 9.3, financial distress is never, by itself, grounds for dissolution: absence of revenue or inability to fund active work is addressed by slowdown and dormancy, and no Member shall vote for dissolution, or seek judicial dissolution, on the basis of financial distress alone.

11.2 Winding Up

On dissolution, the Company's activities are limited to winding up: collecting assets, paying or providing for liabilities, and distributing what remains. The Members designate a Member or other person as liquidator, who acts in the interest of the Company and all Members and liquidates assets for fair value as promptly as is consistent with that value.

11.3 Distribution of Assets

Liquidation proceeds are applied: first, to creditors in the order the law requires (other than for distributions); second, and pro rata if what remains is not enough for all of them, to pay Unpaid Balances under Sections 3.4 and 3.5, the balances owed on Member Accounts, and amounts owed to former Members under Section 8.7 — the people who did the work rank together, and Contractors are not made to wait behind Members; and third, any remainder is distributed to the Members equally, or, if the Members so choose by Supermajority at dissolution, donated to one or more organizations the Members approve.

11.4 Disposition of Company IP on Dissolution

On dissolution, each then-current Member's Section 7.3 license survives as to all Company IP. The Members shall by Supermajority decide the disposition of the Company's underlying ownership of Company IP — for example, transferring it into equal co-ownership among the final Members, releasing it under an open license, or assigning it to a successor cooperative — with the default, absent a decision, being equal co-ownership among the final Members. The Company's trademarks, trade names, and logos are not distributed into co-ownership — co-owned marks decay into unenforceable ones. The Members shall by Supermajority assign them to a single person or entity or abandon them; absent a decision, they are abandoned.

Article 12 — Indemnification and Liability

12.1 Limited Liability

No Member is personally liable for the debts or obligations of the Company solely by reason of being a Member, except as the Act requires. Members should observe ordinary formalities — keeping Company funds separate from personal funds and documenting Company decisions — to preserve this protection.

12.2 Indemnification

The Company indemnifies its Members and Officers, to the fullest extent the Act permits, against liabilities incurred in the good-faith performance of their duties for the Company. The Company does not indemnify a person for conduct involving bad faith, fraud, or willful misconduct, and does not indemnify anyone for an obligation incurred in violation of Section 9.4.

Article 13 — General Provisions

13.1 Amendments

Any Member may propose an amendment to this Agreement. An amendment is adopted only on Supermajority approval of the Members, except that the following require the unanimous written consent of all Members: any amendment to Section 9.4 or exception granted under it, as that Section provides; and any amendment that would (a) create more than one class of Member, (b) require a buy-in or capital contribution to join or remain, (c) make governance rights or Seat Shares unequal among Members, (d) allow membership or the economic rights that come with it to be sold, transferred, or inherited, (e) narrow the perpetual license in Section 7.3 or the delivery obligation in clause 7 of it, (f) allow the Company to employ wage or salaried personnel (Sections 3.2, 8.8), (g) permit a contributor to work beyond six (6) months without admission, except as Section 2.3 itself allows, (h) transfer the Company's business or substantially all of the Work Pool to an entity that is not worker-owned, or (i) convert the Company to a form that is not a worker-owned cooperative.

These are the terms that make this a cooperative rather than a company that currently happens to be run by its workers. A future majority that wants a payday can find one; it will not find it here. While the Company has a single Member, the Founding Member may amend this Agreement in writing, consistent with the Act. Exhibit A (the Statement of Business Practices) is non-binding and may be revised by Majority without formal amendment; the forms at Exhibits B and C may be updated by the Secretary, provided updates conform to Articles 3 and 7.

13.2 Governing Law

This Agreement is governed by the laws of the State of Texas, without regard to conflict-of-laws principles.

13.3 Dispute Resolution

The Company and its Members will attempt in good faith to resolve disputes among themselves, and may agree to mediation before pursuing other remedies. Any dispute-resolution agreement with a non-Member must preserve that person's non-waivable statutory rights, including rights under the National Labor Relations Act and rights to pursue harassment or discrimination claims before the appropriate agency.

13.4 Entire Agreement; Severability; Further Assurances

This Agreement, together with the Certificate of Formation and the Exhibits, is the entire agreement governing the Company and supersedes prior understandings; provided that Exhibit A is aspirational and descriptive only and creates no rights or obligations. If any provision is

held unenforceable, the rest remains in effect and is construed to carry out the parties' intent. The Members will execute any further documents reasonably needed to give effect to this Agreement.

13.5 Counterparts

This Agreement may be signed in counterparts, including electronically, each of which is an original and all of which together are one agreement.

Adoption and Signature

The undersigned adopts this Operating Agreement of Timeless Way Interactive, LLC as of the Effective Date written above. As additional Members are admitted, each shall sign a joinder to this Agreement, and the Secretary shall maintain the joinders with the Company's records.

Signature of Founding Member

Date

Printed name: _____

Title (if any): _____

Exhibit A — Statement of Business Practices (Non-Binding)

This Exhibit describes how the Company currently pursues its mission. It is deliberately non-binding: it is a map, not a rulebook. The Committee may revise it by Majority without amending the Agreement, and nothing in it obligates or limits any Member — under Section 5.1, each Member decides which of these practices to pursue with their own share of resources.

Method: a field of centers. This Exhibit is organized after Christopher Alexander’s method of approaching a quality that no single term can name. The mission — *generate more games, sustainably, with genuine depth* — is the center of the field. No practice reaches it directly. Instead, the seven Values of the Preamble surround the mission as overlapping approximations of it, and each Value is in turn approximated by concrete Tactics — the practices listed below. Every Tactic is listed under the Value it chiefly approximates, with its overlaps noted, because the overlaps are the point: most Tactics serve several Values at once, and each center strengthens the centers around it. The field is a work in progress by design — Tactics are added, retired, and re-centered as the Company learns, by Majority revision of this Exhibit and without amending the Agreement.

The center: Game Development

One Tactic sits at the middle of the field, nearest the mission itself, because it is the mission executed: a sustained cadence of finished, shipped games with genuine depth. Every Value approximates it and every other Tactic exists to feed/fund it.

Entertainment

Games are tools that convey an experience; fun is the craft itself. Approximated by:

- **YouTube Content.** Devlogs, design essays, and postmortems that entertain and teach while documenting the work — a durable public record of the craft. (*also: Education · Community*)
- **Coding Adventures.** Programming as spectacle: serialized builds, challenges, and experiments where the making itself is the show. (*also: Education*)
- **Parody Animation.** Short animated parody — comedy about games, the industry, and the craft, made to be enjoyed on its own terms. (*also: Community*)
- **Musical Commentary.** Songs and musical pieces commenting on games, work, and the industry — entertainment that carries a point of view. (*also: Politics*)

Education

The Company teaches, shows its work, and expects learning to flow both ways. Approximated by:

- **Gamedev Tutorials.** Direct instructional content on game design, engineering, and production craft, shared openly. *(also: Community · Solvency)*
- **Skillsharing Courses.** Structured teaching as both an educational mission and a revenue stream that smooths the gaps between game launches. *(also: Solvency)*
- **Proactive Mentorship.** Deliberately cultivating newcomers, candidates, and contractors rather than waiting for them — the contractor-to-member pipeline (Sections 2.3, 3.3) practiced as teaching. *(also: Comradery · Equity)*

Solvency

The Company stays alive; financial health is the precondition of every other value. Approximated by:

- **Moonlighting.** Members are encouraged to take outside work (Section 7.5) — it diversifies personal income, de-risks the Company’s payroll, and imports skills and industry knowledge. In lean seasons it is also the Company’s shock absorber (Section 9.3). *(also: Education)*
- **Crowdfunding.** Funding games from the community that wants them, keeping ownership where it belongs instead of trading it for capital. *(also: Community)*
- **Revenue Share.** Growing capacity without payroll risk (Article 3): contractors share in what the work earns, aligning their stake with the Company’s solvency. *(also: Equity)*
- **No debt, no leverage.** The Company does not borrow and never puts the Work Pool up as collateral (Section 9.4). Lean seasons are met with slowdown, moonlighting, and dormancy (Section 9.3) — never with loans, and never with dissolution.

Community

Players, peers, students, and collaborators are participants in the work, not an audience. Approximated by:

- **TikTok Marketing.** Short-form reach: clips, hooks, and moments from the games and the process that pull new people toward the longer content. *(also: Entertainment)*
- **Discord Funnel.** Public content feeds the Discord; the Discord is where audience becomes community — playtesters, crowdfunding backers, students, and eventually recruits. *(also: Comradery)*
- **In-Person Events.** Meetups, jams, conventions, and showcases: comradery and community are built face to face. *(also: Comradery)*

Comradery

Members and collaborators treat one another as comrades, in and out of the work. Approximated by:

- **Promoting Colleagues.** Boosting the work of peers, collaborators, and fellow workers — comradery practiced outward, on the theory that the scene rises together. *(also: Community)*
- **Candid Discourse.** Talking openly about money, process, failures, and the realities of the industry — in public content and inside the Company. Candor is the Company's pedagogy and its culture; Section 5.4 builds it into governance. *(also: Education)*
- **Labor Exchange.** Trading work for work — art for code, music for design, playtesting for feedback — among Members and with peers, so that collaboration runs on reciprocity rather than cash. *(also: Community · Equity)*
- **Long-term Partnerships.** Preferring durable collaborations over transactional gigs — with contractors, fellow studios, and platforms alike. *(also: Community · Equity)*

Politics

The Company is not neutral; its structure is its politics, practiced rather than professed. Approximated by:

- **Worker Advocacy.** Openly supporting fair treatment, fair pay, and organizing rights for game workers everywhere — not only our own. *(also: Comradery · Equity)*
- **Socialist Policy.** Openly supporting the broader movement for democratic, worker-owned production — advocating the policies and structures that make labor ownership possible beyond this Company, and saying so plainly. *(also: Equity)*

Equity

Equal ownership, equal voice, equal share — no senior owners, no buy-in, no boss. Approximated by:

- **Equal Ownership.** The Company's own structure practiced as a tactic: equal Seats, no buy-in, labor owning its work (Preamble; Articles 2, 5, and 8). Worker ownership demonstrated is worker ownership advocated. *(also: Politics)*

Equity is the value most nearly practiced through structure itself; beyond Equal Ownership, it is approximated from the surrounding centers — Revenue Share (Solvency), Labor Exchange and Long-term Partnerships (Comradery), Proactive Mentorship (Education), and Worker Advocacy (Politics).

Exhibit B — Form of Individual Contributor Agreement

The current form of Individual Contributor Agreement is maintained by the Secretary as a separate document, “Timeless Way Interactive — Individual Contributor Agreement (Template),” and is incorporated here by reference. Updates to the form must conform to Article 3.

Exhibit C — Form of Member Perpetual IP License

The current form of Member Perpetual IP License is maintained by the Secretary as a separate document, “Timeless Way Interactive — Member Perpetual License to Company Intellectual Property,” and is incorporated here by reference. Updates to the form must conform to Article 7.